State University of Northern Negros
College of Business and Management

BANKING AND FINANCIAL INSITUTIONS

MICROFINANCE AND RURAL BANKING



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INTRODUCTION TO MICROFINANCE AND RURAL BANKING

Microfinance and rural banking are essential tools for promoting financial inclusion, particularly in developing economies where large segments of the population remain unbanked or underbanked. Both aim to provide access to financial services for individuals, households, and small enterprises that are excluded from the traditional banking system.

A. Introduction to Microfinance and Rural Banking



MICROFINANCE

Microfinance, a Financial innovation that emerged in the late 20th century has played a transformative role in fostering rural economic growth. In the context of developing economies, particularly in rural areas where traditional banking services often remain inaccessible, microfinance has emerged as a potent tool for financial inclusion.



The historical roots of microfinance can be traced back to various traditional informal lending practices and community-based financial arrangements. However, the modern concept of microfinance emerged in the mid-20th century, gaining momentum as a powerful tool for poverty alleviation and economic development. Here is an overview of the historical background of microfinance:

1. Informal Credit Systems (Pre-20th Century): Before the formalization of microfinance institutions, communities often relied on informal credit systems. In many societies, individuals pooled resources or formed lending circles to support each other during times of need. Rotating Savings and Credit Associations (ROSCAs), where members contribute money to a common fund regularly, and each member takes turns receiving the total sum, are examples of such informal arrangements.

2. Credit Unions (19th Century): The concept of credit unions, cooperative financial institutions owned and operated by their members, gained prominence in the 19th century. These institutions focused on providing financial services to individuals with limited access to traditional banking.

3. Grameen Bank (1970s): The modern microfinance movement is often associated with the establishment of the Grameen Bank in Bangladesh. Professor Muhammad Yunus, an economist, founded the Grameen Bank in 1976 to address the financial needs of poor rural women. Grameen Bank introduced the concept of microcredit, offering small, collateral-free loans to empower women and stimulate entrepreneurship in impoverished communities.

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4. Spread of Microfinance Models (1980s-1990s): The success of the Grameen Bank model led to the replication of similar microfinance institutions (MFIs) worldwide. Many countries, particularly in Asia, Africa, and Latin America, adopted and adapted microfinance models to suit their local contexts. Non-governmental organizations (NGOs) and donor agencies played a crucial role in promoting and funding microfinance initiatives during this period.

5. Evolution of Microfinance Institutions (1990s-2000s): Microfinance evolved beyond microcredit to include a range of financial services such as savings, insurance, and remittances. This broader approach aimed to address the diverse financial needs of the poor. The microfinance sector saw the emergence of regulated microfinance institutions, as some countries developed legal and regulatory frameworks to govern microfinance operations.

6. Challenges and Criticisms (2000s-2010s): Despite its successes, microfinance faced challenges and criticisms. Concerns were raised about high interest rates, over-indebtedness, and the sustainability of some microfinance models. The sector underwent a period of introspection, leading to efforts to improve consumer protection, transparency, and responsible lending practices.

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7. Inclusion in Sustainable Development Goals (2015 Onward): Microfinance is recognized as a valuable tool for achieving various Sustainable Development Goals (SDGs). Financial inclusion, poverty alleviation, and gender equality are among the areas where microfinance can contribute significantly.

Today, microfinance continues to play a crucial role in promoting financial inclusion, empowering women, and fostering economic development in both urban and rural settings around the world. The sector has diversified, with a focus on achieving a balance between social impact and financial sustainability.

RURAL BANKING

Rural banking is designed to **cater to the financial needs of rural communities, particularly farmers, fisherfolk, cooperatives, and small rural enterprises**. Rural banks provide a broader range of services compared to microfinance institutions, including agricultural loans, micro and small business financing, deposit products, remittance facilities, and insurance. They play a critical role in supporting rural development by improving access to credit, mobilizing local savings, and stimulating economic activities that enhance agricultural productivity and rural livelihoods.



Together, microfinance and rural banking complement each other in addressing financial exclusion. Microfinance targets the poorest households and micro-entrepreneurs through small, flexible financial services, while rural banking serves the wider rural economy with more structured and diverse financial products. Both contribute not only to individual economic empowerment but also to broader community development and national goals of inclusive growth

B. TARGET CLIENTS AND SERVICES

1. MICROFINANCE

Target Clients

- **Low-income individuals and households** without access to formal banking
- **Micro-entrepreneurs** such as street vendors, sari-sari store owners, tricycle drivers, and home-based producers
- **Women borrowers**, who are often prioritized due to their strong repayment track record and role in household welfare
- **Community-based groups** such as Self-Help Groups (SHGs), cooperatives, or savings associations



Services

- **Microloans / Microcredit** – small, collateral-free loans for livelihood, enterprise, or emergency needs
- **Micro savings** – simple, low-maintenance savings accounts to encourage asset-building and financial discipline
- **Microinsurance** – affordable coverage for health, life, crop, or asset risks to protect vulnerable families
- **Financial literacy and capacity building** – training on money management, entrepreneurship, and risk reduction

B. TARGET CLIENTS AND SERVICES

2. RURAL BANKING

Target Clients

- **Farmers and fisherfolk** requiring credit for production, inputs, and post-harvest needs
- **Rural households** in need of savings, credit, and remittance services
- **Micro, small, and medium enterprises (MSMEs)** operating in rural areas
- **Rural cooperatives and community-based organizations**
- **Agribusinesses and local entrepreneurs**



Services

- **Agricultural loans –** financing for seeds, fertilizer, livestock, farm equipment, and irrigation systems
- **MSME and livelihood loans –** credit for expansion of small businesses and enterprises
- **Savings and deposit products –** passbook savings, kiddie savers, and time deposits
- **Remittance and payment services –** domestic and international money transfers, bills collection
- **Insurance and investment products –** crop insurance, health coverage, and investment schemes (often through partnerships)
- **Financial education and extension programs –** community-based training for entrepreneurship, savings mobilization, and risk management



C. MICROFINANCE INSTITUTIONS (MFI)



Microfinance Institutions (MFIs)

These are specialized financial institutions that provide microfinance services. MFIs may offer a range of financial products, including microloans, savings accounts, and micro-insurance. They often operate as non-profit organizations or social enterprises.

Microfinance institutions (MFIs) aim to **reduce poverty** and **promote financial inclusion** by providing access to credit, savings, insurance, and financial services to underserved populations. They empower individuals, particularly women, to overcome social and financial barriers, start or expand small businesses, and improve their socio-economic status. MFIs also encourage savings mobilization, support access to education and healthcare, and provide financial literacy training to help clients build resilience and make informed decisions. In addition, they contribute to broader social and economic development by creating jobs, enhancing infrastructure, and strengthening communities, while also offering risk-mitigation tools such as insurance against illness or crop failure. Although guided by social missions, MFIs pursue financial sustainability to cover operational costs, expand outreach, and work with governments, NGOs, and donors to achieve long-term financial inclusion.



C. MICROFINANCE INSTITUTIONS (MFI)

OWNERSHIP AND LEGAL FORMS



Microfinance institutions (MFIs) can take various legal forms and ownership structures, depending on the regulations and requirements of the country in which they operate. The legal form and ownership structure of an MFI can have significant implications for its governance, funding, and operations. Here are some common legal forms and ownership structures for microfinance institutions:

- Non-Governmental Organizations (NGOs):
- Non-Banking Financial Companies (NBFCs):
- Cooperatives:
- Rural and Community Banks:
- Financial Inclusion Institutions:
- Commercial Banks:
- Public-Private Partnerships (PPPs):
- Community-Based Organizations (CBOs)

Non-Governmental Organizations (NGOs)

- They are typically owned by a board of directors or trustees. These institutions often focus on social impact and financial inclusion rather than profit maximization.

Non-Banking Financial Companies (NBFCs)

- These entities are typically for-profit and can have a range of ownership structures, including private ownership, partnerships, or publicly traded companies.



C. MICROFINANCE INSTITUTIONS (MFI)

OWNERSHIP AND LEGAL FORMS



Cooperatives

- These cooperatives are democratically governed, and profits are typically reinvested in the organization or distributed to members.

Rural and Community Banks

- These banks can have various ownership structures, including government-owned, privately owned, or a combination of both.

Financial Inclusions and Institutions

- In certain cases, governments may establish specialized institutions or agencies dedicated to promoting financial inclusion. These institutions may offer microfinance services and have specific ownership and governance structures defined by law.

Commercial Banks

- In such cases, the microfinance unit operates within the larger framework of the commercial bank, which is typically privately owned.

Public-Private Partnerships (PPPs)

- MFIs can also be structured as public-private partnerships, where government entities and private investors collaborate to provide microfinance services.

Community-Based Organizations (CBOs)

- In certain cases, community-based organizations or self-help groups may provide microfinance services to their members. These organizations are often owned and operated by the community itself.



C. MICROFINANCE INSTITUTIONS (MFI)

ORGANIZATIONAL STRUCTURE OF MFIs



The organizational structure of a microfinance institution (MFI) can vary depending on its size, scope, and specific mission. However, there are some common elements and positions typically found in the organizational structure of MFIs.

Board of Directors

- is the highest governing body of the MFI, responsible for setting policies, strategies, and overseeing the institution's overall direction.
- Directors may include individuals with expertise in finance, law, microfinance, and community development.
- The board ensures compliance with regulatory requirements and maintains financial sustainability.

Executive Management

- The Executive Management team is responsible for the day-to-day operations and management of the MFI.

- Chief Executive Officer (CEO) or Executive Director
- Chief Financial Officer (CFO)
- Chief Operations Officer (COO)
- Chief Risk Officer (CRO)
- Chief Credit Officer (CCO)
- Chief Compliance Officer (CCO)
- Chief Marketing Officer (CMO)





C. MICROFINANCE INSTITUTIONS (MFI)

ORGANIZATIONAL STRUCTURE OF MFIs



Functional Departments

These departments handle specific functions within the MFI and report to the executive management team.

Examples:

- Credit Department
- Operations Department
- Finance and Accounting Department
- Risk Management Department
- Compliance Department
- Human Resources Department
- Information Technology (IT) Department



CHALLENGES AND CONTROVERSIES

- Microfinance has not been without challenges and controversies, including issues related to over-indebtedness, high interest rates, and aggressive lending practices. These challenges have led to calls for greater transparency, responsible lending, and improved consumer protection.
- In summary, microfinance has come a long way since its inception, transforming from a narrow focus on microcredit to a broader array of financial services. The sector continues to evolve, driven by technological advancements, regulatory improvements, and a greater understanding of the complex relationship between financial services and poverty alleviation.



C. MICROFINANCE INSTITUTIONS (MFI)



IMPORTANCE OF MFIs

Microfinance Institutions (MFIs) play a vital role in ***promoting financial inclusion and economic development*** by providing access to credit, savings, insurance, and financial services to underserved populations. They ***empower individuals***, especially ***women***, to start or expand small businesses, improve their income, and enhance decision-making power, which helps reduce poverty and promote gender equality. MFIs also encourage savings, build financial resilience, and ***foster entrepreneurship***, leading to job creation and stronger local economies. By supporting ***financial literacy and stability***, they help households manage expenses, reduce vulnerability to shocks, and plan for the future. Beyond financial gains, MFIs generate social impact by improving the overall well-being and quality of life within communities.

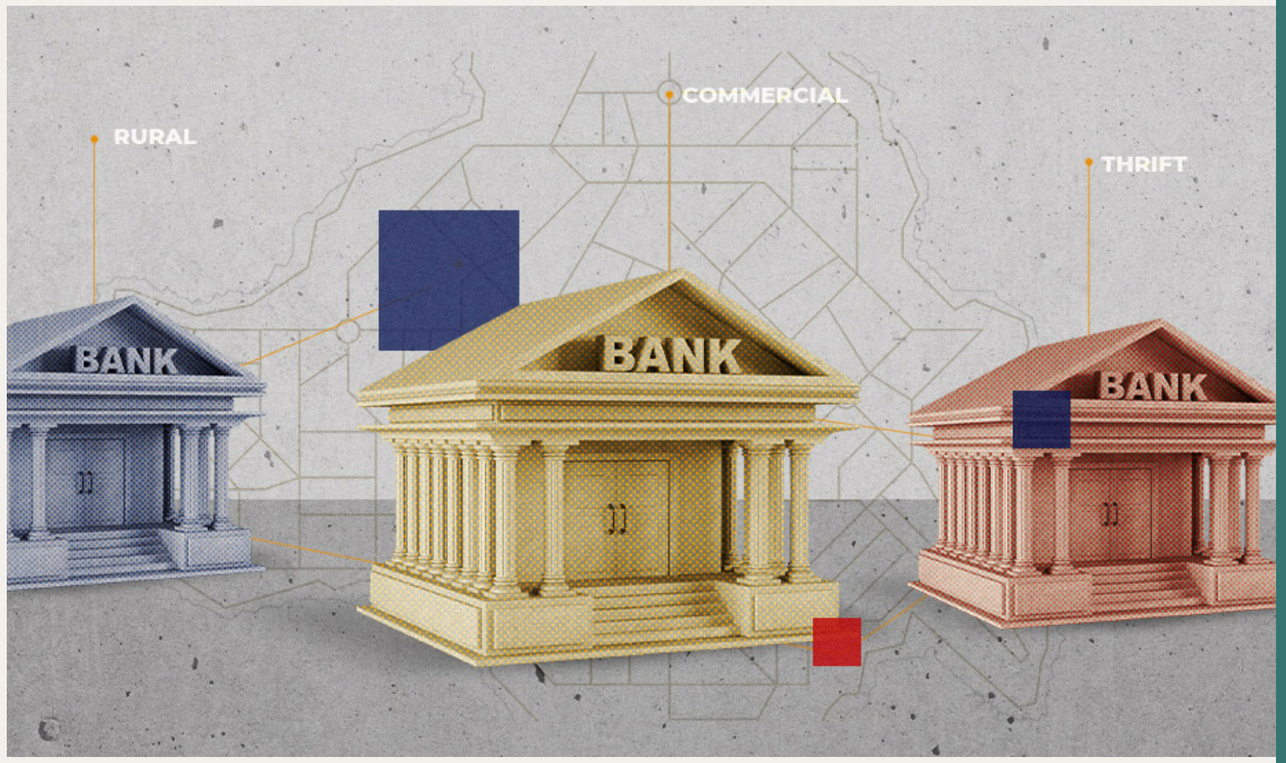








D. RURAL BANKS



Rural banks are banks that serve primarily rural communities. They operate as savings and credit facilities for farmers, fishermen, merchants, rural cooperatives, small business enterprises and other members of rural communities.

A rural bank is organized as a stock corporation and fully owned by Filipino citizens and organizations.

In the Philippines, the rural banks are supervised by **Bangko Sentral ng Pilipinas** or more commonly called as BSP.



Total Number and list of Rural Banks

There were only 18 rural banks operating then in 1853, but now there are 711 rural banks (with 1,959 branches/other offices) all licensed in the Bangko Sentral ng Pilipinas.



TOP 3 RURAL BANKS

1. Bank of Makati

▪ First and only rural bank to get into Business Profiles' List of the top 500 corporations in the Philippines, based on gross revenues in 2010. It's no. 266 on the list.

2. One Network Bank, Inc.

▪ 15.7 billion pesos in resources as of Dec. 31, 2011.
▪ Largest rural bank network in Mindanao.

3. Card Bank Inc.

▪ First microfinance NGO to become a rural bank.
▪ One of the seven signatories in the creation of the country's microfinance credit bureau.



The Rural Bank is a licensed financial institution that helps the people in the rural community to experience a financial service such as to deposit their savings and have credit when their business is needed because as we all know that the life in the Rural is harder than in the Urban areas and the government wants to enrich the agriculture industry in the Rural Areas.

E. IMPACT OF MICROFINANCE AND RURAL BANKING



Positive Impacts

1. Poverty Reduction & Rural Development

- Access to financial services in rural areas is essential to reducing poverty, promoting equity, and creating jobs and incomes in agriculture and nonfarm activities.

2. Shift to Market-Oriented Finance

- Since the late 1980s, government moved away from costly subsidized credit (e.g., Masagana 99) toward market-based interest rates and liberalized financial markets, which improved efficiency and sustainability.

3. Expansion of Rural Credit Programs

- Programs like the Grameen Bank Replication Program provided affordable loans to the poorest households, improved living standards, reduced dependence on moneylenders, and achieved high repayment rates (94–98%).

E. IMPACT OF MICROFINANCE AND RURAL BANKING



4. Growth of Rural Financial Institutions

- Rural banks, cooperatives, and NGOs became important conduits for credit, savings mobilization, and institutional development. Savings mobilization strengthened rural financial institutions and reduced dependence on state subsidies.

5. Support for Nonfarm Rural Enterprises

- With rising nonfarm incomes in rural areas, rural finance began supporting micro and small enterprises, not just farm production. This diversification has been key for rural income growth.

E. IMPACT OF MICROFINANCE AND RURAL BANKING



- ***Challenges and Negative Impacts***

1. Limited Access & Unequal Distribution

- Banking facilities remain concentrated in Metro Manila (NCR), while rural areas especially Mindanao have very low bank density. This limits rural households' access to savings, loans, and insurance.

2. Declining Agricultural Lending

- Despite agriculture contributing around 20% of GDP, banks' loans to agriculture, fishery, and forestry have been minimal and declining over time.

3. Legacy of Subsidized Credit Programs

- Earlier Directed Credit Programs (DCPs) created duplication, distortions, and fiscal burdens. Benefits were often captured by large landowners instead of small farmers.

4. Structural Constraints

- Rural finance is hindered by weak institutions, high transaction costs, information asymmetry, risks (weather, price fluctuations), lack of collateral due to land ownership issues, and inadequate infrastructures

Rural finance has been crucial for poverty alleviation, agricultural growth, and rural enterprise development, especially when delivered through sustainable, market-oriented programs. However, access remains unequal, with rural communities still underserved compared to urban areas. Policy reforms have improved efficiency, but challenges persist in deepening financial access, ensuring agricultural credit, and strengthening rural institutions.

F. INNOVATIONS AND TRENDS

Digital Transformation

Mobile Banking / E-wallets - The intersection of telecom services and microfinance is shaping the future of financial inclusion.

- Mobiles have emerged as a game-changer in microfinance, enabling secure and convenient financial transactions through mobile devices. Microfinance institutions are integrating mobile money platforms to provide services such as funds transfers, savings accounts, and bill payments. This innovation allows individuals without traditional banking access to participate in the formal economy, fostering economic empowerment.



F. INNOVATIONS AND TRENDS

Paperless process

- Loan applications, approvals, and disbursement are increasingly digitized

Mincroinsurance and Beyond Loan

- MFI's are diversifying yo mincroinsurance, savings products, and health financing to provide financial security

Focus on Women and Youth

- MFI's continue to prioritize women borrowers (proven high repayment rates), while also launching youth-targeted microfinance to support start-ups, digital work, and education.

Green and Sustainable Finance

- Loans for Solar panels, clean energy stove, and climate-resilient farming. It supports environmental sustainability and community resilience.



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THANK YOU!